ERPBYW

ACCOUNTING PROFILE UNDER THE ENTERPRISE RESOURCE PLANNING SYSTEM

DEFINITION OF ACCOUNTING SYSTEM

Firstly, we define accounting as the process of identifying, recording, measuring, classifying, verifying, summarizing, interpreting and communication to end users or stakeholders. Accounting mainly involves the systematic recording of revenue, expenses, liabilities, assets, statement of comprehensive income, trial balance, statement of financial position (balance sheet) and statement of cash flows. Then, Accounting systems allow businesses to keep track of all types of financial transactions and are capable of generating comprehensive statistical reports that provide management or interested parties with clear set of data to aid in the decision-making process.

OBJECTIVES OF THE ACCOUNTING PROFILE

- ✓ To eliminate accounting human errors;
  - Error of principle-recording an entry the wrong account, for example owners' personal expenses entered in business expenses account.
  - Error of omission- completely omitting a transaction from the books of account, for example not recording cash receipts of goods sold.
  - Error of commission- entering a transaction in the wrong personal account of a customer or supplier.
  - Compensating error- entering transactions wrongly but off-set each other because they are of the same amount.
  - Error transposition- mistakenly interchange figures when entering, for example entering E1,225 instead of E1,252
  - Error of duplication-entering same item more than once
  - Error of entry reversal- treating an expense as an income in the books of account.
- ✓ Improve the compliance of accounting principles recording transaction;
  - Prudence concept- revenue should not be recorded before it is earned but foreseeable losses should be taken into account, so that is why you make a provision for doubtful debts.
  - Money measurement concept- all transactions should be recorded in monetary terms (money terms).
  - Historical concept- assets should be recorded at cost in the balance sheet.
  - Matching concept- expenses should be matched against relative income in that particular trading period.
  - Duality concept- for every debit entry there should be credit entry to be a transaction.
  - Going concern/ Continuity concept
  - Objectivity principle – accounting information should be definite, verifiable and free from personal bias. Basically, a recorded transaction should have adequate evidence to support it, so this where invoices and receipts are necessary.
  - Full Disclosure Principle- financial statements must disclose all the relevant and reliable information needed for users to make informed decisions.
- ✓ Accounting systems should enforce the accounting characteristics;

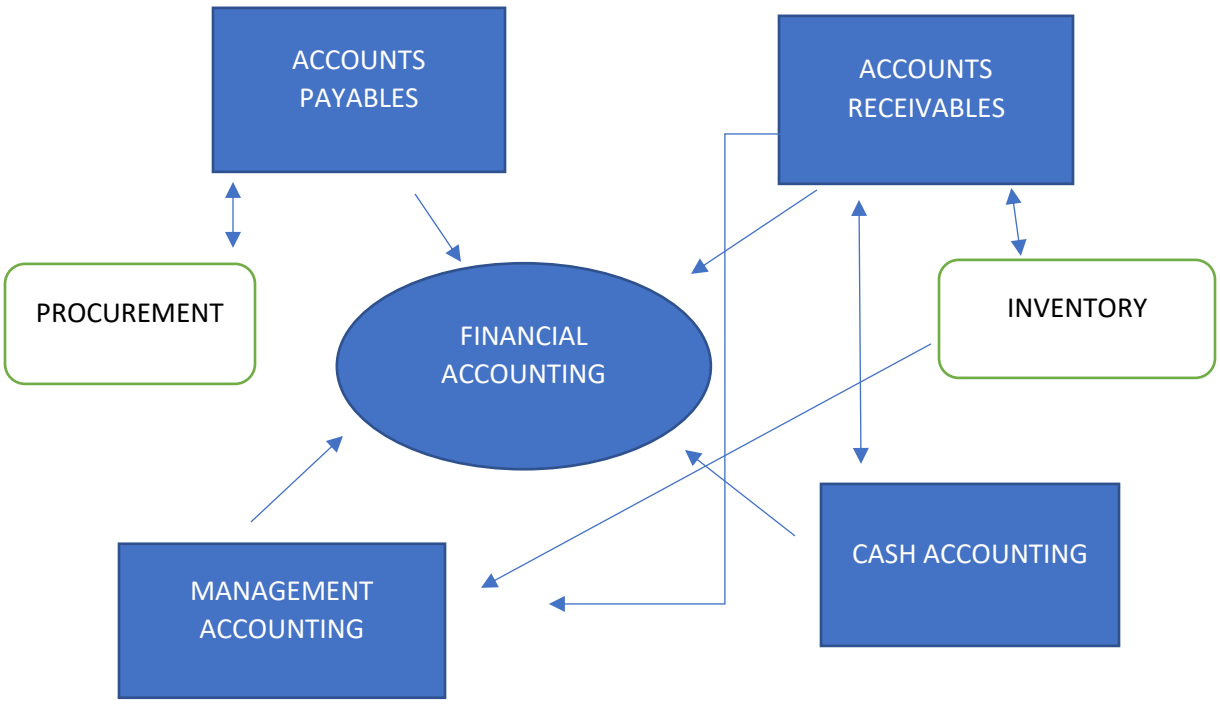
- Comparability
- Relevance
- Understandability
- Consistency

✓ Eliminate manual accounting processes.
✓ Merge accounting information across the different section within the finance department
✓ Provide a database which contains customer and supplier's information.
✓ Improve transparency and accountability of captured data.

Accounting Cycle steps;

1. SOURCE DOCUMENT
2. JOURNALS
3. LEDGER ACCOUNTS
4. TRIAL BALANCE
5. FINANCIAL STATEMENTS

ACCOUNTING DEPARTMENT STRUCTURE;



ACCOUNTS PAYABLES/CREDITORS DEPARTMENT

SOURCE DOCUMENTS; requisition, Purchase Order, Debit Note, Delivery Note, Purchase Invoice & Remittance advices

PROCESSES;

-First set up supplier profile- this involves entering suppliers' contact information and creating an account on the system.

-Depending on the complexity and size of the business, create purchase order from requisition (for other complex businesses this process is done by the procurement officer) and capture purchase order into the system.

-When goods and services are delivered the department will receive invoices, capture and match invoices with related purchase order. In the case of debit note (for goods returned to supplier) capture into the system. If PO matches the invoices (the system must produce a FI number), the creditors' controller verifies for payment. When payments are made send remittance to suppliers after payment confirmation from the bank. Reconciliation statement between the creditors' ledger and suppliers' statement. Closing balance for creditors' ledger transferred to the trial balance.

-These department is also responsible for paying business expenses based on requisitions.

ACCOUNT RECEIVABLES/DEBTORS DEPARTMENT

SOURCE DOCUMENTS; quotation, sales order, sales bill, credit note, sales invoice, receipts & bank deposit slips/bank statements

PROCESSES;

-Set up customer profile which will include customer contact information and creating customer account

-capture sales orders into the system, billing sales to be sent to customers and creating sales invoices

-Capture credit notes for approved goods returned

CASH ACCOUNTING

This section works hand in hand with the account receivables hence data should be merged between the two.

SOURCE DOCUMENTS; cash advance requisitions, petty cash voucher, receipts, bank deposit slips & bank statements

PROCESSES;

-Capture requisitions into the systems for payroll use

-Capture petty cash vouchers against departmental cost center

-Capture cash receipts which will include customer contact information

-Capture bank deposit slips and bank statement for Accounts Receivable use

MANAGEMENT ACCOUNTING

-manufacturing account

-Product costing

-sales forecasts

-Break-even analysis

-Expenses adjustments; depreciation, Bad debts provision & Inventory

FINANCIAL ACCOUNTING

- Profit and Loss Account/ Statement of Comprehensive Income

-Trial Balance

-Balance Sheet/ Statement of Financial Position

-Statement of Cashflows

-Statement of Changes in Equity

OTHER SUGGESTIONS

-VAT return calculation during data capture.

-Inventory must be recorded at lower of cost or net realizable value (selling price less cost incurred to get goods to a saleable condition).